

FRVO

FRVO N/A

Buy	\$35.22 ▲ 1.67%	12M Price Target \$48.00	52-Week Range \$32.39 – \$42.65	Market Cap \$10.36B
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FRVO: Reiterate Buy; Bullish Initiations Underpin Geothermal Scale-Up Narrative

WHAT'S CHANGED

- Investing.com (6/8) flagged bullish Wall Street initiations on geothermal scale-up thesis; stock rebounded +6.5% over the past two sessions (\$33.07 → \$35.22) on declining volume (941K vs. 2.8M on 6/8), signaling short-covering more than fresh institutional accumulation.
- Stock remains at just 28% of 52-week range (\$32.39–\$42.65) despite supportive IPO-era sector tape (WSJ 5/25, Barron's 5/18) — suggests post-lockup overhang or fading IPO euphoria capping near-term upside.

IMPLICATIONS

The bullish sell-side initiation cycle combined with renewed energy IPO enthusiasm provides a constructive backdrop for FRVO, but the muted volume on today's bounce suggests positioning remains light and conviction tentative. With Utilities (+1.0%) and Energy (+0.89%) both green and AI-driven power demand narratives intensifying (Barron's 5/14 superpower piece), FRVO sits at the intersection of two durable tailwinds — clean baseload and hyperscaler load growth — yet trades 17% below 52-week highs, reflecting capital-intensity and execution-risk discounts. Near-term, absent a project milestone or PPA announcement, the stock likely range-trades \$33–38 until next earnings provides drilling cost and Cape Station ramp data points.

VALUATION

At \$10.4B market cap on ~\$185M FY26E revenue, FRVO trades at ~56x EV/Sales FY26E and ~25x FY27E — a substantial premium to clean energy comps (NEE, BEPC at 3–5x) justified only by triple-digit revenue CAGR through 2028 and EGS technology leadership. Our \$48 PT (~36% upside) assumes 18x FY27E EV/Sales as Cape Station deliveries de-risk the model; bear case to \$28 reflects compression to 10x on drilling cost inflation or PPA slippage. Multiple expansion requires demonstrable LCOE convergence toward \$60/MWh and additional hyperscaler offtake commitments.

KEY RISKS

- Execution risk on Cape Station ramp — drilling cost variance and reservoir performance remain pre-commercial proof points.
- Capital intensity: further equity dilution likely needed to fund 2027–2028 project pipeline; rate-sensitivity high.
- Hyperscaler PPA concentration (Google) creates customer concentration tail risk if data center capex cools.

RECENT NEWS

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-12 19:41 UTC

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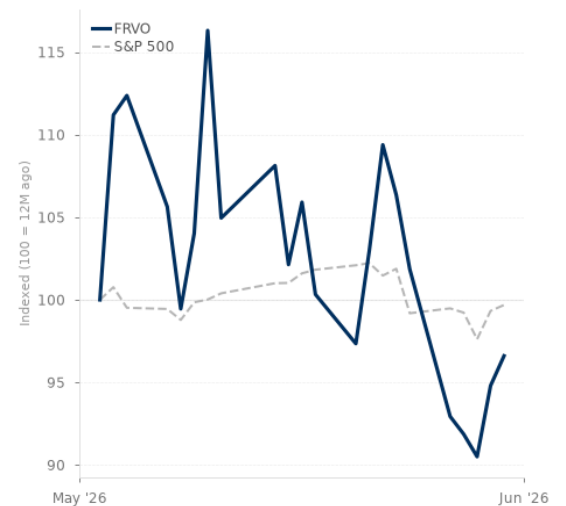
Key Data

Price (USD)	\$35.22
12M Price Target	\$48.00
Upside / (Downside)	+36.3%
Market Cap	\$10.36B
FY2026E Revenue	\$185M
FY2027E Revenue	\$420M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$40.00	\$37.00	\$32.00
6 Months	\$50.00	\$42.00	\$30.00
1 Year	\$60.00	\$48.00	\$28.00
2 Years	\$85.00	\$60.00	\$25.00
5 Years	\$150.00	\$95.00	\$20.00
10 Years	\$280.00	\$160.00	\$15.00

SECTOR INTELLIGENCE

HOT SECTORS: Materials (+3.05% 5D), Technology (+2.42% 5D)

COLD SECTORS: Energy (-0.07% 5D), Utilities (+0.32% 5D)

ROTATION WATCH: Materials/Tech leadership signals reflation + AI capex theme intact; if rates roll over into 2H26, capital-intensive clean energy names like FRVO benefit disproportionately from duration repricing.

BYPRODUCT PLAY: AI data center power demand creates secondary opportunities in drilling services, HVDC transmission, and grid-scale storage — peers like NEE, VST, and oilfield service crossovers (BKR, SLB geothermal divisions) capture adjacent value.

OUTPERFORMERS & PEER CONTEXT

- VST (Vistra): Up materially YTD on AI-power demand reratings; trading at premium multiples as baseload + nuclear narrative dominates.
- CEG (Constellation Energy): Hyperscaler PPA deals (Microsoft) have rerated the entire merchant power complex; sets template for FRVO offtake economics.

FRVO CONTEXT: FRVO is lagging the merchant power AI-trade leaders — it sits at 28% of 52wk range while VST/CEG hover near highs. Relative underperformance reflects pre-revenue execution risk; convergence trade exists if Cape Station de-risks.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$33-35 on consolidation; add on break above \$38

Time Horizon: 12-24 months

Thesis Invalidation: Project delays at Cape Station, drilling cost overruns >20%, or loss of Google/hyperscaler PPAs

Hedging: Pair short vs richer-multiple clean energy peer or XLE call overlay